

2017 C L D 215

[Lahore]

Before Shahid Karim and Jawad Hassan, JJ

QALAB HUSSAIN---Appellant

Versus

FAYSAL BANK and others---Respondents

R.F.A. No. 267 of 2013, heard on 6th December, 2016.

Financial Institutions (Recovery of Finances) Ordinance (XLVI of 2001)---

---Ss. 10, 9 & 22---Suit for recovery---Application of defendant for leave to defend suit was dismissed, and suit was decreed in favour of the plaintiff Bank---Contention of defendant, inter alia, was that the suit had not been competently filed and that the plaintiff-Bank had no cause of action---Validity---Perusal of record revealed that the defendant had not denied availing finance facility from the plaintiff Bank, therefore it could not be said that the plaintiff Bank had no cause of action---Plaint was signed and verified by Branch Manager of the plaintiff Bank who was competent to file the suit under the law---Defendant had not challenged the veracity of documents executed between him and the Bank at any competent forum therefore, defendant's contention that his signatures were forged, had no force---No illegality, therefore, existed in the impugned judgment---Appeal was dismissed, in circumstances.

Muhammad Ajmal Khan v. Zarai Taraqiati Bank Limited 2015 CLD 1197 rel.

Syed Farooq Hussain Naqvi for Appellant.

Azmat Lodhi for Respondent No.1.

Nemo for Respondent No.2.

Date of hearing: 6th December, 2016.

JUDGMENT

JAWAD HASSAN, J.---Through this appeal, the Appellant has assailed the judgment and decree dated 6.2.2013 passed by Judge Banking Court-I, Faisalabad, in the suit filed by Respondent No.1.

2. Brief facts for the disposal of this appeal are that the Bank Respondent No.1 filed a suit against Qalab Hussain, the Appellant and Muhammad Ismail for recovery of a sum of Rs.42,49,706/- due as principal amount, profit, termination charges, late payment charges and

other charges till 10.10.2010 along with future profit/cost of funds as determined by State Bank of Pakistan, till the full and final liquidation of liability due from the Appellant in the suit account by sale and auction of the properties mortgaged in favour of Respondent No. 1.

3. The Appellant was served under section 9(5) of the Financial Institutions (Recovery of Finances) Ordinance, 2001 (the "2001 Ordinance"). In response thereto, the Appellant filed application under section 10 of the 2001 Ordinance, (the "PLA") whereas Defendant No.2 did not appear to defend the suit, therefore, ex parte proceedings were initiated against him. In the above said application, the Appellant raised certain preliminary objections regarding filing of suit by incompetent person, lack of locus standi and no cause of action to file the present suit; that the Bank has not come to the court with clean hands; contents of the plaint are self-contradictory; that claim of Respondent Bank is ambiguous, false and deceptive and the documents annexed with the plaint were also alleged to be forged.

4. The said application was contested and vehemently opposed by Respondent Bank by filing written reply while raising certain preliminary objections that the PLA was not within time frame required under section 10 of 2001 Ordinance. The learned Judge Banking Court-I, Faisalabad after seeking reply of the said application from Respondent No.1, heard the arguments on the application filed by the Appellant, then proceeded to dismiss the application and passed the decree vide judgment and decree dated 6.2.2013 in the sum of Rs.34,65,630/- in favour of Respondent Bank and against the Appellant jointly and severally with cost of the suit and cost of funds from the date of institution of the suit i.e. 19.10.2010 till the full and final liquidation of the liability. The said judgment and decree has been assailed by the Appellant through this appeal.

5. Learned counsel for the Appellant has argued that suit was not filed by duly authorized person hence the same was not competently filed and is liable to be dismissed; that copy of the plaint was received by the appellant without copies of documents only two days before the stipulated period for the submission of application for leave to defend the suit, therefore, the appellant haphazardly filed the required petition for leave to defend the suit.

6. On the other hand, the learned counsel for the Respondent has supported the impugned judgment and decree and prayed for dismissal of the appeal in hand.

7. The arguments of counsel for the parties have been heard and record of Banking Court has been perused which is filed with this appeal.

8. It is reflected from perusal of the record that admittedly, the Appellant has not denied the relationship of Financial Institution and customer and also not denied the availing of finance facility from the respondent Bank, therefore, it cannot be said that the Respondent Bank has no cause of action and plaint is liable to be rejected under Order VII, Rule 11, C.P.C. It also transpires from perusal of record that the plaint is signed and verified by Branch Manager, who is competent to file the suit under the law. The details of statement of account is certified by Bank official. The Appellant has failed to point out any incorrect entry in the statement of account. The record further suggests that the Appellant has also paid certain instalments to the Respondent Bank upto December, 2009. So far as forged signatures of Appellant on the bank

documents are concerned, the appellant has not challenged the veracity of those documents executed between the parties before any competent form. Therefore, the above contentions and arguments of learned counsel for the appellant are not supported by any document. In support of this contention, reliance is placed on the judgment of Muhammad Ajmal Khan v. Zarai Taraqati Bank Limited (2015 CLD 1197) where it was held that:

"Defendant could not point out any forgery or tampering as alleged by it therefore mere allegation of fraud or tampering was not sufficient as the defendant was bound to state the details and ingredients of the alleged fraud..."

9. In the circumstances presented above, no case has been made out for interference in the impugned judgment and decree rendered by the Banking Court. This appeal is accordingly dismissed leaving the parties to bear their own respective costs.

KMZ/Q-11/L

Appeal dismissed.